Summary of *The Algebra of Wealth* by Scott Galloway

What is the number one reason to build wealth?

Scott Galloway offers a compelling answer: "**Wealth gives us the freedom to spend time doing wonderful things with the people closest to us, so we can expand and really soak in those relationships."** Relationships are crucial to one's happiness—as the authors of the longest study on happiness ever conducted, the Grant Study, concluded: *"Happiness is love, full stop."*

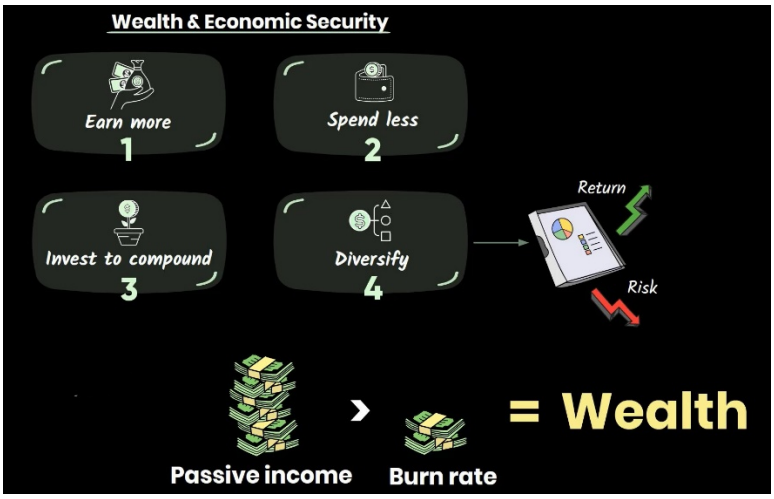
It's hard to be present and loving when we lack economic security and constantly worry about money. Stats show that divorce rates are highest among low-income Americans.

Therefore, the question becomes: ***What can we do to build wealth and achieve economic security so that we can spend more time and be fully present with the people we love?***

Here's a high-level summary:

1. **Increase earning power** by leveraging our strengths.
2. **Spend far less than we earn.**
3. **Invest early and often** to let compounding work its magic. Even if that means investing just $100 a month initially ($100 a month invested in the S&P 500 with a 10% annual return would give you almost a quarter million dollars in 30 years—increase that to $500 a month with employer matching, and you're looking at over $2 million).
4. **Diversify investments** across stocks, bonds, real estate, and other assets to reduce overall risk while maintaining a sufficient annual return.

Do these four things, and eventually, your assets will generate enough passive income for you to live on, so you aren't constantly worried about money. That's true wealth!

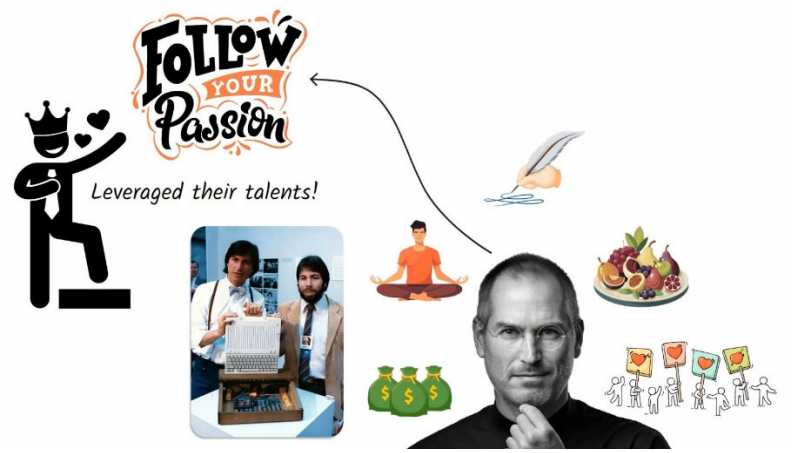


In the *Algebra of Wealth,* author Scott Galloway covers these four steps in depth. In this summary, I want to go deep and get tactical on the first two: **earning** and **saving**.

Earn More with a Three-Step Approach

Step 1: *Focus on Talent, Not Passion*

Most people who tell you to "follow your passion" became successful by leveraging their talents. Take Steve Jobs—he was passionate about meditation, calligraphy, and fruitarianism, but his success came by recognizing his talent for marketing and promoting the computer his friend Steve Wozniak built. By the time Jobs encouraged others to follow their passion, he was already wealthy and admired by many.



Like Jobs, passion for one's work often comes AFTER success and recognition.

The problem with making passion your primary focus is that you tend to disengage when work gets tough—precisely when you should be leaning in and discovering your talents. When you frequently disengage because you don't feel passionate about what you do, your career stalls, and so does your earnings growth. So, forget passion and make talent your sole focus.

Think back over the last six months of work and answer two questions:

1. **What seems to come easier to me than to the people I work with?**
2. **What am I willing to do that others are not?**

These questions reveal your talents. For Scott Galloway, it was delivering lectures and presentations. For me, it's simplifying information and tireless improving my work until it's just right. For a friend of mine, it's empathizing with others and having the patience to work with people to resolve their problems.

Once you know your talents, volunteer for new assignments or roles that will leverage and allow you to develop your talents further. The more you develop your talents, the more remarkable you become—and the more and more passionate you are about your work.

Step 2: *Stick to a Regimented Exercise Routine*

Oddly enough, one of the **most important financial tips** Galloway offers is to exercise. It's not just about physical health—exercise is a performance enhancer. Science shows that exercise helps you focus longer, learn faster, and maintain energy to tackle tough tasks. When you exercise, you develop the mindset necessary to succeed in a tough career. Much like a workout, you may not enjoy starting a difficult task, but as you push through, it feels good—and by the end, you're glad you did it.

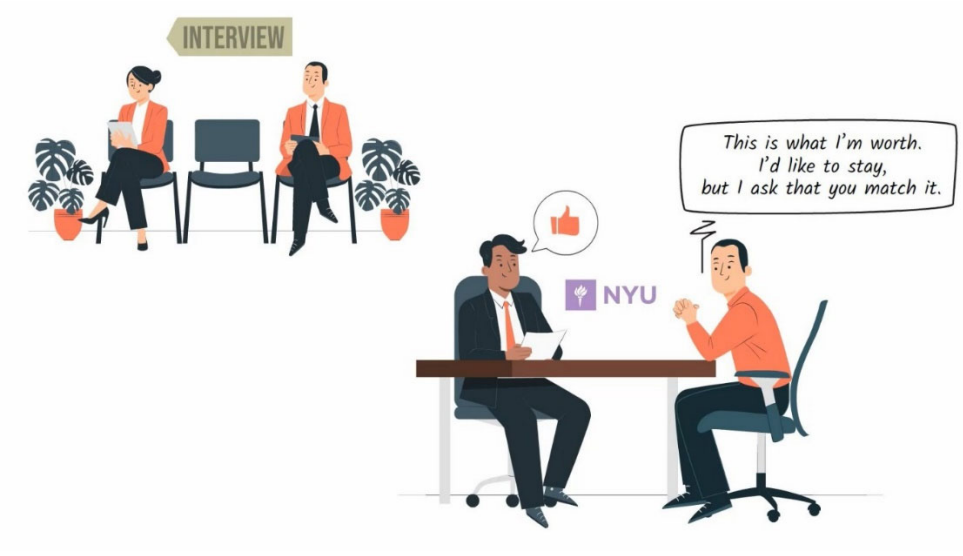
Exercise is also the best remedy for a bad day—exercise is shown to be 50% more effective at treating depression than therapy or medication. Therefore, exercise often (ideally every workday) to perform better, feel better, and build the resilience you need to thrive in your career.

Step 3: *Always Know Your Worth*

The unfortunate truth about working in a company is that the longer you stay, the less your salary increases. The fastest way to increase your salary is to switch jobs frequently. As of March 2023, employees who changed jobs saw an average wage increase of 7.7%, while those who stayed put only received a 5.7% bump.

However, you don't need to frequently switch jobs to earn more—if you show your talents to competitors and bring job offers back to your current employer. Scott Galloway routinely interviewed at other universities and brought job offers to his employer, NYU, and said, "This is what I'm worth. I'd like to stay, but I ask that you match it." They always did.

Every two years, interview with competing companies and bring offers back to your employer to see if they're willing to match it. Increase your negotiating success by being willing to leave your current employer.



Spend Less by Practicing the Stoic Virtues

In a world of endless temptation, self-control is paramount to saving and investing. For 99% of human history, we didn't live past 35 and constantly risked starving to death. So, we developed an intense desire to consume and amass resources when possible. Add the fact that we love to signal success to others, especially when we're looking for a mate, and it's no wonder excessive consumerism is a hard habit to break.

That's where the ancient philosophy of **Stoicism** comes in. Stoicism shifts your focus from craving more stuff and impressing others, to building an impressive character by consistently displaying four virtues: **courage, wisdom, justice, and temperance**.

- **Courage** is having the strength to not go with the crowd and buy things just to fit in.
- **Wisdom** is recognizing that while you can't always control your urges, you can control your actions. It's also realizing that buying something you really want won't give you the satisfaction you expect (you'll keep wanting more and more).
- **Justice** is doing what's right, which often means not wasting money so you can give your future self and loved ones a better life.
- **Temperance** is having the self-control not to splurge while shopping or eating out.

Practicing these Stoic virtues strengthens your character. And in the end, people care far more about your character than your car, clothes, or other material possessions. Therefore, when you feel the urge to spend, ask yourself: ***"How can I practice the four Stoic virtues and build an impressive character?"***

Takeaway

Scott Galloway's *Algebra of Wealth* is simple: **Focus + Stoicism + Time + Diversification**.

- **Focus** on your talents.
- Use **Stoicism** to fight consumerism.
- Leverage the power of **time** and **diversification** to compound your savings until your assets generate enough passive income for you to live on.

Do these things and you will achieve economic security and have the freedom to spend more time with the people closest to you, so you can maximize those relationships and get the most out of life.

Key Quotes

"Wealth is the absence of economic anxiety. Freed of the pressure to earn, we can choose how we live. Our relationships with others aren't shadowed by the stress of money."

"Economic security is acquiring sufficient assets—not income, but assets—such that the passive income they generate exceeds the level of spending you choose for yourself—your burn rate (Economic Security = Passive Income > Burn Rate)."

"Economic security isn't a function of what you earn but what you keep and knowing how much is enough for you."

"The key to happiness is our expectations, and unrealistic expectations guarantee unrealized happiness. Yet every time you leave your house or pick up your phone, society and its organizations are either serenading or swearing at you. The difference between the lives of the 1% and the 99% is thrown in your face every day—an entire industry of simulated, flaunted wealth has developed around 'influencers.' Wealth porn . . . a constant reminder: not of what you've achieved but what you haven't."

"(We perform better at work when we have economic security). Work is a bit like dating in this regard—the less you need your job, the more it needs you."

"Someone of average talent at Google has done better over the past decade than someone great at General Motors. Especially early in your career, be thoughtful about the wave you are paddling into; any opportunity you have when you're young to choose among different paths is a profound blessing. Look for the best beach with the biggest waves."

"Time magnifies small changes into mighty things. Time is how acorns grow into oaks and rivers cut canyons. In economics, and in life, we can see time's power in the phenomenon of compounding."

"Money is the ink in your pen, but it's not your story. It can write new chapters and make some brighter, but the narrative arc is up to you."

"The ultimate objective is to enjoy a life rich in relationships, not to die with the biggest number in the bank."

Quotes by Scott Galloway

Bonus Insights from *The Algebra of Wealth* by Scott Galloway

Play with 20%

Most investing books will tell you to refrain from active investing because it results in fees and higher taxes, and rarely beats passive index investing. However, those books fail to mention the valuable lessons one can learn from active investing. That's why Scott Galloway recommends allocating a small portion of your savings—around 20% of your first $10,000—to invest in individual stocks, bonds, and commodities, and buy and sell options.

As you try to grow your money through active investing, you'll quickly learn how hard it is. Losing money will make you highly motivated to learn about the economy, volatility, interest rates, and business cycles—all of which will make you a better investor and be valuable with you buy a house or start a business.

Additionally, playing with 20% also satisfies your need for control when the market declines. Selling assets from your "play" bucket or using your play money to hedge against losses will make you less likely to touch your long-term investments - something your future self will thank you for.

Action Plan #1:

> Reserve 20% of the first $10,000 you invest to actively buy stocks, bonds, commodities, and options so you learn valuable investing lessons and leave your long-term investments alone.

Remember the Time Value of Money

I'm 39 years old. That means I have roughly 2,000 weeks or 336,000 hours left, assuming I reach the average life expectancy of 80 years. That's not much time. To get the most out of it, I need to use my money to free up time to do things I love and to enhance the time I have left. This approach makes my money much more valuable. For example, instead of spending $100 on new clothes, I could spend that $100 on house cleaning services, freeing up two hours to play pickleball with a friend. If you love hiking, spending $100 on a new pair of hiking shoes so that you enjoy hiking even more might be one of the best ways you can spend $100.

To ensure you get the most value out of your money, complete the following exercise:

1. Make a list of 10 things you love doing with your time.
2. Make a second list of how you can use your money to free up time to do more of what you love. Consider software you could buy or freelancers, maintenance services, and cleaning services you could hire.
3. Make a final list of ways to enhance the activities you love. For example, if you enjoy playing a sport, consider hiring a coach to improve your skills and deepen your enjoyment. Or, if you love traveling, invest in better accommodations to make the most of your time on your next vacation.

Action Plan #2:

> Aim to spend most of your disposable income in a way that either liberates or significantly enhances your time, and then invest the rest.

Do the Math

Author Scott Galloway earned a lot of money as an entrepreneur, but it was not enough to easily justify buying a private jet. Scott thought purchasing a plane was indulgent and reckless—until he did the math. Scott lived in Miami and needed to be in New York once a week to teach at NYU. Additionally, he frequently traveled around the country to deliver keynote speeches.

Owning a plane would significantly reduce his time spent at airports. It's a two-minute walk to a private plane with no security checks, enabling him to spend roughly 13 extra days at home with his two sons each year. Over 10 years, this would add up to four months with his boys. Purchasing and maintaining a plane over the next decade would total around $12 million. So, Scott asked himself, ***"At the end of my life, will I want an extra $12 million in the bank or the memory of four more months with my boys?"***

Scott bought the plane and said it was the easiest financial decision he'd ever made.

Action Plan #3:

> Before making a big purchase, consider how it will liberate or enhance your time over the next decade.

Invest in the Right Hobbies

What activities might you enjoy in retirement that you enjoy doing now?

For some, it is poker, playing an instrument, cooking, and learning a language. For me, it's golf and chess—both offer a lifetime of challenge, and I can see myself doing both well into old age.

By honing my golf and chess skills today, I know that I'll enjoy them even more in retirement. That's because being skilled at an activity enriches the time spent doing it. I often meet retirees who pick up golf in retirement and are frustrated by their lack of skill. Many regret not starting earlier, realizing how much richer life would be if they'd invested more in the sport when they were younger.

Maintaining social connections is vital as we age, so consider investing in hobbies with a social aspect—like a bowling league, dance class, or hiking group. By investing in those activities now, you'll have routines and friendships that will carry into retirement.

So, remember: *Saving and investing for retirement is crucial, but so is investing in activities and relationships you'll enjoy later in life.*

Action Plan #4:

> Identify one activity you expect to enjoy in retirement and make time each month to improve at it.